

Broadcom Inc. (AVGO.US)

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-12

UNDERWEIGHT

Blended Target: \$337.30

DCF + Comps + Analyst (see cross-check table)

Implied upside: -11.7%

Price (Jun): \$382.07

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$337.30 (-11.7% vs \$382.07); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Broadcom Inc. (AVGO) — Technology. Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in... **UNDERWEIGHT** rating; blended target \$337.30. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.82T	Shares Out.	4757.6M
52-Week Range	\$244.17 – \$495.00	P/E (TTM)	63.6x
P/B	20.7x	Beta	1.43
Avg Volume	25.60M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$75.46B	Rev Growth	+47.9%
Op. Margin	49.0%	FCF (TTM)	\$26.91B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	51,574	63,887	94,489	126,880	158,277
Revenue Growth (%)	N/A	23.9%	47.9%	34.3%	24.7%
Net Income (\$M)	5,895	23,126	34,203	45,928	57,294
Net Income Growth (%)	N/A	292.3%	47.9%	34.3%	24.7%
Gross Margin (%)	63.0%	67.8%	76.3%	76.3%	76.3%
Net Margin (%)	11.4%	36.2%	36.2%	36.2%	36.2%
ROE (%)	8.7%	28.4%	42.1%	51.2%	60.9%
EPS (\$)	1.24	4.86	7.19	9.65	12.04
Book Value / Share (\$)	14.23	17.09	17.09	18.84	19.78
P/E (x)	308.35	78.60	53.14	39.58	31.73
P/B (x)	26.86	22.36	22.36	20.28	19.32
Dividend Yield (%)	67.0%	67.0%	67.0%	67.0%	67.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$109.39	-71.4%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	\$152.54	-60.1%	—	Peer median P/E 25.4x
Comps — EV/EBITDA (peer median)	\$145.33	-62.0%	—	Peer median 21.3x
Comps — P/S (peer median)	\$154.67	-59.5%	—	Peer median P/S 9.8x
Comps — Blended (avg. of available multiples)	\$152.54	-60.1%	0% (excluded)	Diverges below other methods (29% of median)
Analyst consensus (Yahoo Finance)	\$522.06	+36.6%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	\$337.30	-11.7%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Methods diverge >30%: target anchored to Comps/Analyst consensus

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	11.88%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$26.91B
PV explicit (5Y)	\$142.79B
PV terminal	\$377.64B
Equity value (adj.)	\$520.44B
Implied price	\$109.39
vs. current	-71.4%

INDUSTRY ANALYSIS

1. Industry Overview

Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in two segments: Semiconductor Solutions and Infrastructure Software. The company offers networking connectivity, such as custom silicon solutions, ethernet switching & routing, ethernet NIC controllers, physical layer devices, and fiber optic...

2. Key Trends

- Strong top-line growth (47.9% YoY)
- High operating leverage (49.0% margin)
- Above-market volatility (β=1.43)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 63.6x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.90T	23.3x	16.0x	39.3%	+18.3%
GOOGL	Alphabet Inc.	\$4.39T	27.5x	26.7x	37.9%	+21.8%
META	Meta Platforms, Inc.	\$1.44T	20.6x	13.3x	32.8%	+33.1%
NVDA	NVIDIA Corporation	\$4.97T	31.4x	29.7x	63.0%	+85.2%
AVGO*	Broadcom Inc.	\$1.82T	63.6x	44.7x	38.8%	+47.9%

* Subject company. Commands premium p/e vs peers. Strong revenue growth; high operating margins; strong roe; positive tcf generation. Source: Yahoo Finance. Not investment advice.